September 18, 2026

Down, Set, Hike!

I've wanted to make every attempt to follow up with you before we enter what I would consider the stimulating part of the year for markets. A lot has transpired since our July 20th update, and this memo will cover recent performance drivers, both positive and negative, before turning to forward-looking ideas. I find a particular enjoyment in reflection, and more specifically when it comes to my thoughts on the stock market. The entire premise of even writing these memos began as a reflection tool. I've learned there is no room for pride in this game, and therefore I never attempt to have any. Reflecting on ideas that have turned out to be not so true is where I tend to grow the most. The market is a variable species and it likes to present one as a fool today and a genius tomorrow.

In our last memo I was hashing out the reality that for most of June and July, we were in what many would term a "momentumless" market. While that is not the reality every year, there is a strong seasonal correlation with equities for one reason or another that tends to create a lull in the hotter months. If you recall, I made the comment in July that software names (led by MSFT) were stale for the most part and that market participants were awaiting Mag7 earnings. I also mentioned that I offloaded my PLTR position at breakeven around $130/share. Roughly two weeks after that, PLTR reported earnings with over 90% top-line growth that sent the stock up over 25%. Similarly, MSFT reported earnings and realized a subsequent 20% gain in share price. The tone had clearly switched for software-related names at that point. Earlier this year, many of these stocks were left for dead, and we wrote extensively in February about our anticipation of MSFT falling to its long-term moving average near $370/share, before ultimately entering a position in early April. While we could not have been more ill-timed in our exit from PLTR, we have been compensated somewhat with an almost 40% gain in our MSFT position in less than six months. You rarely get opportunities to buy a giant near its 200-day moving average, and we got two this year alone.

RETURN SINCE JULY 20TH MEMO

Metric	Palantir (PLTR)	Microsoft (MSFT)
July 20, 2026 close	$134.85	$402.29
September 15, 2026 close	$172.56	$497.12
Return to recent close	+27.96%	+23.57%

For maturity's sake, these (MSFT, PLTR) are two very different stocks and that certainly played a part in my decision to separate from the more immature one. Yes, I'm well aware of its geopolitical ties and I even mentioned such in our April memo. Even with that consideration in mind, I had dense

exposure to the software sector through MSFT and RBRK that gave me enough solace in my decision to sell PLTR.

Do I still believe in PLTR long-term? Of course, and I've made note in prior memos that their stock price hangs on the revenue growth rate story, much like every other technology stock. If I can offer one bit of advice when it comes to investing in technology stocks, it is to focus on those that have *premium revenue growth rates*. That is the number one driver of technology stock prices. I pause here to add that while a premium revenue growth rate (>20%) is key, when an infant tech stock produces sporadic revenue growth, we are then focusing on where that growth stabilizes at. The stock should perform well relative to that stabilization level. This idea continues with the understanding that once you pay up for all that growth, and once growth rates start to come down just a little, don't expect the multiple to stay where it's at. This is why I've discussed NVDA and their respective growth rate as the "North Star" when it comes to the current market and the ongoing AI trade. Lucky for us, Jensen spoke at numerous conferences over the last week and stated he believes NVDA is poised to grow 70% or more over the next year.

As I've written before, the difficulty is not in finding winners, it's in staying in them through uncertainty. The most naive person you know could pick a winning stock. The intro sequence with PLTR highlights the behavioral component that I struggle with most. I rarely find myself holding a swing trade that is down 50% because I would've sold well before then. I more so find myself realizing a nonmaterial gain/loss, say -5% to 5%, at the hands of a mistake in judgement. That mistake comes to fruition as my initial thesis is proven correct. The good thing is nobody in history has ever participated in this game and been free from error. Like the universe, the sun also rises in the market and pays no mind to human tragedy, triumph, or despair.

What Else Can I Say?

This year has provided us with more than a few textbook illustrations of what I look for in stock investments and swing trades. In the following pages I'll break down two of these instances, involving our long-term darling Rubrik (RBRK) and a briefer relationship in Fastly, Inc. (FSLY), a stock we highlighted beginning earlier this year. In both recaps, you'll see the story play out in a less than ideal fashion, a common reality for human investors. I view both instances differently because with a longer-term hold, you can expect it to sell off one day sooner or later. Every great stock has sold off aggressively (>50%) at one point – it is a fact of life. On the other hand, trade items such as my swing trades experience a more extreme "tail risk" (a higher frequency of extreme, sudden drops) scenario due to the shortened time horizon. The conditional value at risk (CVaR) measures much higher for swing trades because the expected shortfall relative to the holding period is heavily skewed by daily volatility. Over longer horizons, daily volatility smoothes out, making shortfalls easier to stomach. I say all this to drive home the point that you have to view a stock's price action from the perspective of the holding period first.

Rubrik Case Study



**Rubrik (RBRK) historical stock chart through July 2026*

1. *Identification* – As you can see above, RBRK IPO'd in 2024 and was immediately a winner for early investors. I was not aware of the ticker at the time. After two stellar earnings reports, with revenue growing over 40% YoY, I began watching RBRK very closely in June 2025. At that time, RBRK had just blown through $100/share and I was watching a rocket ship from the ground. That's fine because I want the *heavy lifting to be done by other investors*. I simply weigh the market's judgement against my own opinion and begin to establish a position over time if I see a legitimate opportunity arising. The benefit of this process is that the market is rarely wrong on an idea. It goes back to our conversation around young growth names being "institutionally selected". When no metric or forecast explains the current stock price, you are seeing a stock that is being grabbed at the reins by the market. What doesn't initially make sense to you or me makes perfect sense to the market.

> *A new face I'll mention is RBRK, a cybersecurity and data management company I've been watching for the last month. I initiated a position at $71/share. Although it's below its long-term moving averages, I don't care as I have time here and I believe this is a superior company within the cybersecurity space.*

2. *Imperfect entry* – I first began writing to you about RBRK in the November memo with my initial entry at $71/share. At that time, I recognized the hypersensitivity of the stock and realized I would more than likely have a better entry in the future. In my experience, you almost always get a better entry in young stocks. They simply swing too much, too fast. This is where your holding perspective comes into consideration.

> *We of course have discussed the name Rubrik (RBRK) for many months now and they were no more shielded than others, down 30% this year alone. I've added to my position there as of recently around $50/share. I remain very optimistic about this name as agentic AI continues to pick up steam. I view functions like cybersecurity as inseparable from the rise in agentic AI... Currently, RBRK has an 18% institutional ownership position. We plan to own this name throughout that institutional accumulation phase.*

3. *Conviction Under Duress* – It is never easy to own a stock while it bleeds daily. Amid the software collapse in early 2026, RBRK retraced well below our initial purchase allowing us to average down in February towards $48/share. As discussed in earlier pages, RBRK being a long-term hold certainly

provided me with psychological relief as the initial position lost more than 30% of its value. Note that, as of September, RBRK's institutional ownership is over 50%. In November we mentioned it was at 18%. This is the sort of safety net I look for in young growth stocks. The biggest winners are always those being steadily supported by institutional purchases.

From the March 31st pivot, RBRK has returned 46% and RDDT is lagging a tad, up only 19%. We discussed our purchases of RBRK in the April memo. My average cost on RBRK is now $48/share... For now, these two tickers remain in my top five holdings.

4. *Payoff* – At last, we approach greener pastures and can begin seeing the fruits of our labor. As I type this, RBRK is trading around $103/share with a recent high of $107/share, before selling off post-earnings. Our purchases in February appreciated over 100% by the end of July. Being that at one point I was over a third allocated to RBRK, I've rolled over some of it into more purchases of RDDT in August around $148/share. I maintain a position and the opinion that RBRK continues to be a long-term winner for investors.

Inside the Park - Fastly



**Fastly (FSLY) trailing six month stock chart*

1. *Identification* – We brought this name to the stage in our April memo with the idea that the stock was experiencing a re-rating. At that time, the stock had already appreciated over 100% in 2026 alone. We stressed then that you would have an opportunity to buy the stock whenever it bleeds aggressively. I mentioned my entry around $20/share at that time as well. At this point, a winner was identified by the market and we were setting ourselves up to profit from its continuation. The heavy lifting on the front end had been done for us. A 100% increase to start the year told me all I needed to know about how institutions were playing this name. I'm just a bystander at that point, waiting for the rollercoaster to come back around.

I've found myself focusing more on FSLY throughout May as we were quickly given the opportunity we hoped for in the April memo. At this point, FSLY has gone from $20 to $32 per share (60%) and subsequently fell from $32 to $16 per share (-50%), all in less than 45 days. My starter position was at $20/share and I've since added in late May to lower my cost basis to $16.50/share. This is a stock that could be back above $30 very quickly if you can stomach the volatility. This remains a trade item for the most part but in the instance it pops dramatically, I'll always retain a little for the long haul. Currently catching a lot of eyes, this stock could give us a quick 50-100% gain.

2. *Conviction Under Duress* – Similar to many other swing trades I've written on, my initial position is not always the most ideal. I tend to plan for this and leave some ammo aside when it comes to high volatility names. If you are looking to swing trade stocks, particularly technology stocks with a very high beta, be prepared to have to average down. You will rarely, if ever, buy the bottom. We noted in the May memo that we took action to lower our cost basis to $16.50/share.

3. *Payoff* – For those of you who stomached the volatility early on, you were able to reap over 75% on this swing trade as shares crossed over $30 in less than two months. Some swing trades are more acute than others and for the most part that timeline is out of my control. I set expectations prior to entry and monitor the position. If the trade gives me a reason to exit, I sell without hesitation. I consider anything under twelve months to be a "swing" trade. Some will disagree with that terminology usage, but I use it to determine if it's one I'll "set and forget" or one I'll consider exiting entirely down the road. The above image highlights perfectly what you can expect in swing trades. In FSLY's case, this one played out almost to perfection.

Recent Actions and Forward-Looking Ideas

Providing forward guidance at a point in time like today seems to me a fool's errand. Over the last month I've had many conflicting emotions regarding the stock market. I can't tell whether I'm too inundated with news or too far removed from it. I could write for hours on what is going on, but I'll focus on the three factors I see as the market's most sensitive topics currently.

1. *Geopolitical Inflation Risk* – Mainly to do with the effects on the Fed's ability to signal easing. After last week's inflation reports, it is a very uncomfortable topic now for them. Energy remains the core inflation driver, and for now, AI remains inflationary.
2. *FOMC Commentary* – As anticipated following last week's sharp CPI/PPI spikes, the Fed delivered a rate hike on Wednesday. More importantly, the Fed's voice and explicit guidance matter far more now than in recent quarters. If Warsh continues to frame this move as an isolated adjustment rather than the start of a multi-hike campaign, the market could find immediate relief. I'll be watching for selective buying opportunities in late September as the market digests the policy tone.
3. *A Valuation Reset in AI-Related Names* – Most everyone is pondering this idea and the lazy tend to think the music never stops. Over the weekend AI leaders began to voice a "slow down" reasoning that the market did not take too fondly, treating it as a potential near-term constraint on the AI trade. I pause here to ask myself what is their incentive for such statements? I tend to think it has to do with their desire to control the establishment of a regulatory framework that best protects them from competitors. Basically a cry of "AI needs to slow down via regulations so that we can make the rules and block out competition". Most likely all in sync with Anthropic and OpenAI's inevitable IPOs, both of which have been delayed multiple times now. Remember here that with current yields as high as they are, any downgrade to the "duration" of AI growth will create a dramatic compression in multiples. I can make a list of stocks that fit the bill for a significant multiple compression if this sentiment takes hold – just look for those that have gone straight up in 2026.

With all of that said, I will view any retracements from now until early October as potential buying opportunities. The market should be able to form a clear opinion sometime in the coming weeks.

- In December I discussed RDDT as a stock that was perceived as perfect, inevitably left to slip up on some metric eventually. On July 30th RDDT reported a decrease in US daily active users (DAUs), causing the stock to fall over 25%. I took that opportunity to exchange a percentage of RBRK for RDDT, discussed earlier.

- I've slowly watched our trade item TFIN fall from a recent high of $83 back to $66 in a little over a month. I recommended this trade in February when TFIN traded near $55. While I thought shares would hold up after recent earnings, I was forced to realize they were headed lower. I exited the position entirely at $77 in early August. I'm watching for this name to stabilize around $60-65 before I would consider playing my cards there again.

- I'm still holding CRK ($13.40/share) and took a little off the table at $15.80 in early September when it ran nearly 20% in a matter of weeks. Just this week the stock is down over 10% and back around $13/share. Buying low and selling on pops is the only way I play this name. I'm not opposed to reentering soon around the $12-13 level.

- Outside of those household items, I've started a longer-term swing trade in Nokia (NOK) at $9.80/share. This is a very volatile AI related stock and yes, it is the same company that used to make your phones. It has awakened in 2026 amid ongoing AI demand related business growth. From there it was rerated, up over 150% at one point. I'll look to add to this name if it can hold the line around $9/share.

For some reason or another, I'm not as confident in the current market as I have been in prior memos. What we are seeing is remarkable, and that alone is reason enough for me not to be overly aggressive. The Fed followed through this week with a 25-basis-point hike and its updated projections point to one additional increase before year-end. The market is no longer merely debating whether policy will tighten, it is now operating under a Fed that believes financial conditions remain insufficiently restrictive. Still, Wednesday's meeting did not confirm the most extreme version of the hawkish narrative. The Fed signaled further restraint, but not an unlimited hiking campaign, yet. Now markets will be left to determine whether inflation, energy pressures, or resilient domestic demand warrant a more sustained move higher in rates.

As always, I'm watching dozens of stocks with anticipation. For now, we sit with a current cash allocation near 30%. I'll plan to follow up with you towards the tail end of October.



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